

How can integrating Charkha-based cottage industries into modern supply chains promote Gandhian self-sufficiency by generating labour-intensive rural employment, enhancing income stability, and empowering marginalized groups in India?

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Abstract

This paper investigates the underlying shifts and the trends within the khadi and village industries, it inquires how various stakeholders are advocating the need of incorporating petty machinations and furthering the aims of integrating khadi and village industries in the modern supply chains, it relies on the data provided by Khadi and Village Industries Commission (KVIC) and Ministry of Micro, Small and Medium Enterprises to gauge the extent of employment generation within rural parts of India. It explores the challenges of growth and better remuneration within this sector, it advocates the need for assessing the value chains and gauging the remuneration that various people involved in this field are able to draw. This paper examines the employment generation within the micro and small industries of the rural parts of India and assess the mismatch between the employment generated by Khadi and village industries with that of micro enterprises arguing that micro enterprises which are adopting more modern means of production are creating more employment than the industries which are inclined towards traditional modes of production (only partially incorporating machinery in their vocations).

Introduction

Cottage industries by definition refer to enterprises or manufacturing units that are carried out within the purview of one's residence (or its proximate periphery), such industries comprise of a wide span of typologies that can be encompassed under their ambit, though, they are largely prevalent amongst (i) handicrafts, (ii) handlooms, (iii) agro-food processing, (iv) pottery, (v) weaving, (vi) dairy, and (vii) production of some key everyday household items (like matchsticks, knives and locks etc.). Some key definitional features of cottage industries that

separate them from micro or small scale industries are that they are characterized by the deployment of traditional production techniques as opposed to the utilization of modern machineries, as well as, that the production therein is undertaken by the members of the household itself instead of employing manpower beyond the confines of the family membership. These aforementioned key characteristics have underlined the conventional understanding of what qualifies as a cottage industry per se, though these very characteristics themselves are subject to inquiry and reinvestigation while we interrogate the extent of their integration in the modern supply chains, as well as, the infiltration of petty mechanizations within the arena of what we conventionally consider cottage industries. This paper attempts to instigate a reconsideration of the characteristic features of the cottage industries in the light of the recent developments that are being undertaken amongst cottage industries and advocate the necessity for re-evaluating the understanding of cottage industries in the backdrop of outsourcing, flexible capitalism and the fourth stage of industrial revolution, while arguing in the favour of the scope and potential they hold for creating self-sufficiency through revenue generating endeavours and empowerment within rural areas and amongst marginalized communities.

In the aftermath of covid and tariff wars which have created an atmosphere of instability in global trade at the behest of geopolitical conflicts which have had an adverse impact on the prices of goods that are shared across borders (for instance, crude oil), there has been a resurgence of drawing focus towards ‘self-sustainability’ which advocates the focus towards production and consumption of commodities within the close geographical proximity, this idea is promoting an emphasis on ‘localism’. This turn towards promoting and instilling excellence amongst local production units have reinstated the need for supporting small scale production for safeguarding the economy and citizens from price fluctuations along with creating employment,

as well as, altercating the value-chains which would aid the mission of self-sufficiency through the satiation of the immediate needs of the consumers with the products that are produced within the confines of the geographical boundaries of the nation itself, such an approach two-fold benefits as it cuts down the logistical costs (along with the implicit environmental costs incurred at its behest) and creates revenue generating opportunities for people through localising production and consumption. Such a paradigm shift in production and consumption practices also hold the potential for increasing value for locally sourced raw materials (as well as finding locally sourced alternatives for the materials where there are none available), along with, creating a robust compliance and auditing procedures that would ensure better quality of products (which would enhance the demand for exports of locally produced products in international markets). This emphasis is not a reiteration of import substitution industrialization, instead it is a call for creating capabilities of micro and small scale production units for satiating the immediate needs of the consumers in close proximity, as well as, enhancing the standards of the produce for making surplus production lucrative for international markets.

The idea of enhancing the capabilities of cottage industries is credited to Gandhian philosophy, who advocated for the need of indigenous production and paid due consideration for instilling a sense of reverence and rewards for the cultural commerce prevalent amongst local communities. His principles pertaining to self-reliance is key to his political philosophy especially with regards to nationhood, he advocated that true nationhood can only be attained by adhering to ‘Swadesh’ which promulgated the idea of socio-economic justice through instilling the capability of achieving self-sufficiency, i.e., meeting the needs of the populace within the nation itself. He envisioned that the cottage industries would become the propeller of India’s growth and instate reliance over itself with a careful concern for the kind of production and

consumption. He deployed “charkha” and “khadi” as symbols for the perpetual struggle for independence in the context of boycotting the goods that were being marketed by colonial powers in India. Gandhi’s idea of an equitable society resisted the hierarchical imagination of a pyramidal structure where the apex is supported by the base but rather laid emphasis on creating rural societies as self-sustaining units which would act as concentric circles, where each society would aid and assist the development of the other, this conception further theorizes the non-hierarchical and decentralized social structure through explicating the interdependence and interconnection amongst ‘individual, village, region and nation’ demarcating and distributing powers and responsibilities amongst various stakeholders involved in successfully attaining ‘self-reliance’ (Patel, 2015). Gandhi described his idea of an idea village as:

"That village may be regarded as reformed, where everybody wears khadi, which produces all the khadi it needs, in which every inhabitant spends some of his time in one or more processes relating to cotton, which uses only oil produced in indigenous oil-presses, which consumes only jaggery manufactured in the village itself or in its neighbourhood and only hand-milled flour and hand-pounded rice; the village, in other words, where the largest possible number of village industries are flourishing, in which nobody is illiterate, where the roads are clean, there is a fixed place for evacuation, the wells are clean, there is harmony among the different communities, and untouchability is completely absent, in which everybody gets cow's milk, ghee etc., in moderate quantities, in which nobody is without work, and which is free from quarrels and thefts, and in which the people abide by the sevak's advice in all matters. This is possible in the existing conditions. I cannot of course say about the time required."

The legacy of Gandhian economic thought has played a pivotal role in the approach independent India has undertaken towards rural development and strengthening rural industries through providing oversight along various kinds of support such as getting subsidised loans, skill enhancement training and avenues for retail and marketing. The task of promoting growth and development amongst of khadi enterprises and village industries are undertaken by various statutory and non-statutory bodies under the aegis of the Ministry of Micro, Small and Medium Enterprises, these include Khadi and Village Industries Commission (KVIC) and Coir Board, along with National Small Industries Corporation (NSIC), National Institute for Micro, Small and Medium Enterprises (NIMSME) and Mahatma Gandhi Institute for Rural Industrialization (MGIRI). Khadi refers to handspun or hand-woven fabric which were traditionally made from cotton, wool or silk, they hold historical significance as they were deployed as symbols for instating self-reliance and empowerment by Gandhi during the national struggle for independence, the process of producing khadi comprises of spinning and weaving which is a labour intensive task, it is often undertaken by artisans in rural areas, whereas village industries refer to industrial set-ups that are located in rural areas which produces goods or renders services with or without the use of electricity, they are loosely characterized by the fixed capital investment per head of an artisan/worker not exceeding 1 lakh rupees in plain areas and 1.5 lakh rupees in hilly areas, such village industries are broadly divided under the verticals of (i) agro based food processing industries (comprising of pulses and cereals industry, palm gur and khandsari industry, fruits and vegetables processing industries, village oil industries, as well as, milk and milk based industries), (ii) mineral based industries (MBI) (comprising of pottery among others); (iii) wellness and cosmetic industry (WCI) (consisting of industries like incense sticks, leather, footwear manufacturing/repairing amongst others); (iv) rural engineering and new

technology industry (RENTI) (they include enterprises pertaining to biogas, carpentry etc.), (v) service industry (including plumbing and various other tradecrafts).

Prior to November 2019, there were various separate schemes for aiding the development and growth of khadi and village industry sector, though they were merged under one all encompassing umbrella scheme named “Khadi and Gramodyog Vikas Yojana” (KGVY), which is a central government scheme (and has no direct involvement of state government per se), though the state government is also an important stakeholder in providing aid and assistance to khadi and village industry sector, although, they are not liable to contribute to the schemes that are under the purview of Khadi and Gramodyog Vikas Yojana, although state government often have their peculiar schemes for supporting this sector, as this sector holds the ability to provide livelihoods to many, promote commerce and trade, as well as, enhance the standard of living for the people and garner reverence for the products (or the example that they set and the stories about the lives that are often weaved into such products providing better representation of the lives of local communities) which are various facets of ‘good governance’, also, providing means of livelihood is an intrinsic directive principle of the state and assuring the same increases the chances of incumbent in the subsequent elections. This paper will further discuss about the various components of Khadi and Gramodyog Vikas Yojana (in the following sections), although this paper attempts to address some key issues regarding cottage industries and shed light on their transformation across the years, it also draws attention on the large gaps of data regarding ‘cottage industries’ as well as various other forms of village industries considering that most of the information about cottage and village industries are only available through the annual reports of Khadi and Village Industry Commission (hence, only the verticals that the commission

has actively worked with have been addressed and the rest are not particularly documented per se, as well as, stresses their importance in the face of their transformation.

Research Objectives

This paper tries to highlight the importance of village industries and the need for their integration in modern supply chains, in this regard it undertakes a two pronged approach towards modernization and addresses the questions concerning the nature of ‘cottage industries’ as well as traces their transformation. It aims to assess the limitations of terminologies pertaining to ‘cottage industries’ and gauge the causes behind why they are now being called ‘village industries’ instead. It traces the extent of employment generation that these industries have been able to provide for the rural and marginalized population of India. It engages with the approach that various stakeholders are undertaking towards the development and growth of cottage/village industries, especially with regards to the disbursement of funds at the behest of Khadi and Gramodyog Vikas Yojana (which roughly translates to Textiles and Village Industries Development Scheme), it traces the programmes and policies designed towards the promotion and growth and excellence in the arena of cottage/village industries. This paper traces the challenges of inculcating mechanization and attempts of integrating modern means of production within the purview of village and cottage industries while delving into the questions of how labour intensive traditional modes of production have been witnessing a drastic fall after the era of liberalization, and examines the means and measures that are being adopted for their revival. This paper tries to reassess the Gandhian imperative for strengthening village/cottage industries and advocates the need for a revised outlook with regards to identifying new arenas for the creation of the kind of industries that cater to conventional demands of the national and

international markets. It attempts to suggest that the symbolic purview of the Gandhain imperative should break the mould of the inclination of mere symbolism as was suggested during the national freedom struggle but instead more investments, training and emphasis be paid towards equipping village/cottage industries with the means necessary for meeting the scale and standard that are being followed in the national and international markets, as well as, finding more avenues for the creation and promotion of village industries that are oriented towards the innovation and invention (either within the purview of traditional village industries or broaden the scope, ambit and capabilities of cottage/village industries).

Research Questions

To address the aforementioned research objectives, this paper attempts to investigate the following research questions:

- **What has been the definitional shift in cottage industries, i.e., what has led to the shift in terminologies from ‘small scale cottage industries’ to ‘micro and small industries’?**
- **What are the gaps in data pertaining to the information available regarding village and cottage industries?**
- **What are the means and measures that various stakeholders (primarily the state) are deploying towards reviving and transforming traditional village/cottage industries?**
- **How are cottage/village industries altering their production processes in the face of technological availability and advancement?**

- **Is the conventional infrastructure available in the villages an impediment in adopting alterations in the production process?**

These research questions are essential for comprehending the changing landscape of the ambit under the purview of cottage/village industries, this paper supposes that these equations are key points of consideration towards making the cottage/village industries 'state of art' and lead in the world with an example. The high rates of technological adoption of the Indian consumers and the market that they offer have been turning the village/cottage industries to attend to the newfound demands.

Demarcating the Definitional Inconsistencies in Cottage and Village Industries

Cottage industries are defined as small-scale enterprises which are carried out either wholly or primarily with the help of the members of the family as a full-time or part-time vocation, they are characterized by decentralized manufacturing endeavours and classified on account of the amount of investment required to start them, as well as, the number of people involved in its operations, such industries are known for producing goods that are labour intensive in nature and they often find it difficult to compete with manufacturing units that deploy heavy mechanizations or productions conducted within factories (Kundu, 2017). They are often defined as 'industries that are largely traditional in nature producing traditional goods with the help of traditional techniques, such industries purchase raw materials from local markets and sell them in the local markets as well, they do to employ labour from outside and seldom use machines and electricity' (Dhar & Lydall, 1961). These industries are also categorized by involving traditional artisans or craftsmen (deploying skills that they have inherited ancestrally)

as well as, not scaled for mass production which distinguishes them from small-scale industries (Vijayalaxmi K & Kalluraya, 2024). The scholarly literature often uses the terms cottage industries and village industries interchangeable, although, the shift from the terminology of ‘small and cottage industry’ to ‘micro and small industries’ undertaken during the formulation of new policies during 20006 under the “Micro, Small and Medium Enterprises Development Act” points towards some underlying changes that became prominent during the enactment of this act, these changes were akin to certain altercations that had come to light in the nature of ‘cottage industries’ regarding their implicit incorporation in various umbrella conglomerates. Though, most ‘home-based small production units’ are not formally acknowledged to have been incorporated within ‘larger conglomerates’ and despite this development not having garnered great attention amongst scholars and policy makers, this shift narrates the story of how appealing for funds, credit subsidies and fellow benefits were shifted from the last-mile delivery or direct benefit transfers to the households undertaking these entrepreneurial endeavours towards certain collective umbrella conglomerates or co-operatives which would then be responsible towards drafting the ‘proposals’ and represent certain collectives of these artisans, either for resurgence of such endeavors of their perpetuation (Saith, 2001). For instance, ‘milk production and processing of milk based products’ have been characterized as a cottage industries but rise the rise of co-operatives, the nature of ‘dairy industries’ as a part of ‘cottage industries’ began to change because the production processes, as well as, the roles and responsibilities of dairy farmers began to change, their role in the processing and retailing their produce led to a sharp fall, instead their role was limited to delivering their produce to collecting units which would them remunerate them on the basis of the quality of their produce. Similarly, this shift was also carried out within handicrafts and handlooms industries, where the production process was

staggered and the value-chain dispersed, this is an outcome of the implicit modernization of the supply chains being undertaken within the purview of small-scale and cottage industries.

Although, with an implicit changes in the patterns of kinship and the rise of migration amongst rural areas towards urban cities have altered the underlying dynamics of what cottage industries look like today, as well as, the influence of technology (which has still been substantially low), yet, technological adoption in various walks of cottage/village industries are being promoted by the action of the state. Despite the very categorical characteristics of village and cottage industries still holding true in today's times and date, the implicit changes are often unaccounted for. The very definition of what and how cottage industries carry out their production have been undergoing an implicit change, the likes which are not overtly documented but with the rise of use of information and communication technology, as well as, various schemes and subsidies that are being rolled out different stakeholders (such as the state and various semi-private and private players) who are meeting the changing requirements and compliance procedures that became essential requisites for garnering the benefits from that the policies and programmes of the state are providing artisans, as well as, gaining access to markets.

Hence, the changing landscape of village and cottage industries need utmost attention, the very key definitional characteristics that were deployed for identifying village and cottage industries are changing and holds a lot of ambiguity, this requires greater scholarly attention and it needs to be acknowledged by policy makers for curtailing policies that are more beneficial for the artisans and workers involved in these industries. The implicit acknowledgement of how these industries are altering their operating procedures through direct and indirect influence of intermediaries and the tacit integration of modern supply chain management are being deployed in these largely unorganized sectors, such influence and deployment does not alter the labour

conditions per se but it alters the way that procedures of procuring the produce that these traditional artisans and workers are producing.

Gauging the dynamics of Employment in the Micro Industries of India

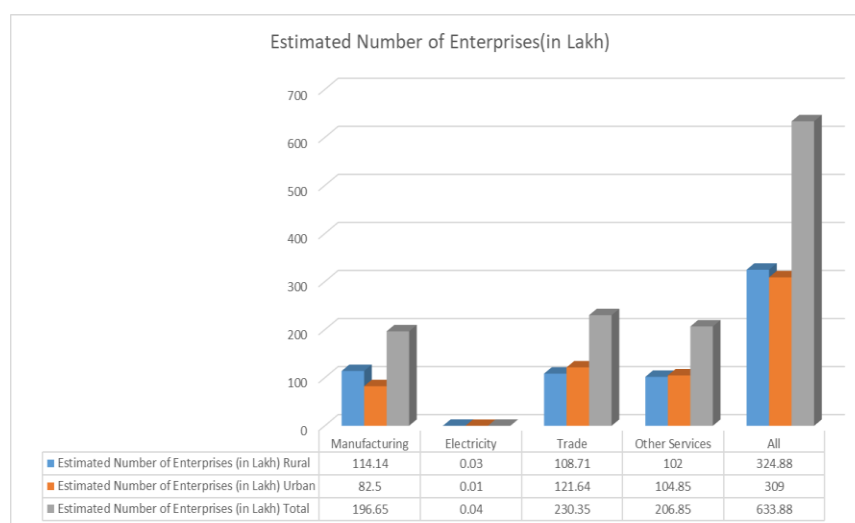
Before the enactment of Micro, Small and Medium Enterprises Development Act, 2006, what were known as "Small and Cottage Industries" were incorporated under the ambit of 'Micro and Small Industries', this alteration changed with the perception of how cottage and village industries were being conducted. This change is not very explicit, it is an alteration in the understanding of the decline in traditional modes of production and the process of identifying various enterprises on the basis of the investment involved in setting them up, on the basis of this demarcation, industries that required less than 25 lakhs of investment were categorized as 'micro industries, the industries that required anywhere between 25 lakhs to 5 crores were categorized as small scale industries and those required more than 5 crores investment were categorized as medium industries. Amongst the MSME enterprises, the 'micro' industries are substantially numerically higher than small and medium enterprises, as the following table suggests that more than 6,30,52,000 micro enterprises are registered in India, out of which more than 3,24,09,000 function within rural areas (comprising of 51% of the total micro enterprises in the country).

Sector	Micro	Small	Medium	Total	Share (%)
(1)	(2)	(3)	(4)	(5)	(6)
Rural	324.09	0.78	0.01	324.88	51
Urban	306.43	2.53	0.04	309.00	49
All	630.52	3.31	0.05	633.88	100

Distribution of Enterprises Category Wise (number of industries in lakhs)

Source: (M/o MSME, 2024)

According to the 73rd round of the National Sample Survey (NSS), which was conducted between 2015 and 2016, the MSME sector generated 11.10 crore jobs in both rural and urban areas nationwide, including 360.41 lakh in manufacturing, 0.07 lakh in non-captive electricity generation and transmission, 387.18 lakh in trade, and 362.82 lakh in other services. As the following table suggests, most of the micro enterprises operate within the manufacturing, trade and other services overheads (as demarcated by the Ministry of MSME), manufacturing, trade and other services in rural areas are closer to what were once termed cottage industries (this reflects on how the scope of ambit of cottage industries have changed over time).

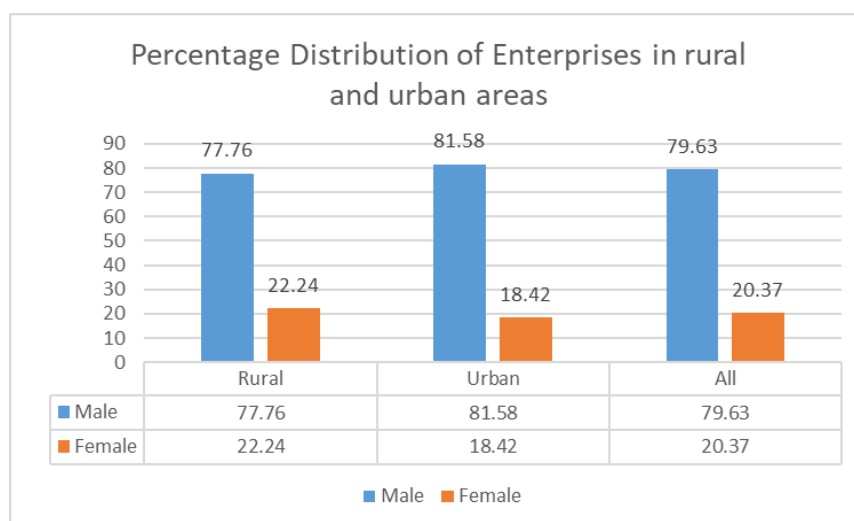


Estimated Enterprises in the MSME Sector (Activity Wise)

Source: (M/o MSME, 2024)

608.41 lakh (95.98%) of the 633.88 MSME were proprietary concerns. The majority of proprietary MSME owners were men. As a result, men owned 79.63% of proprietary MSME businesses overall, while women owned 20.37%. Although the prevalence of male-owned businesses was marginally higher in urban than rural areas (81.58% versus 77.76%), there was no discernible difference in this pattern between urban and rural areas, although, the ownership

of MSME's amongst women are slightly higher in rural areas (i.e., 22.24%) than in urban areas (18.42%).

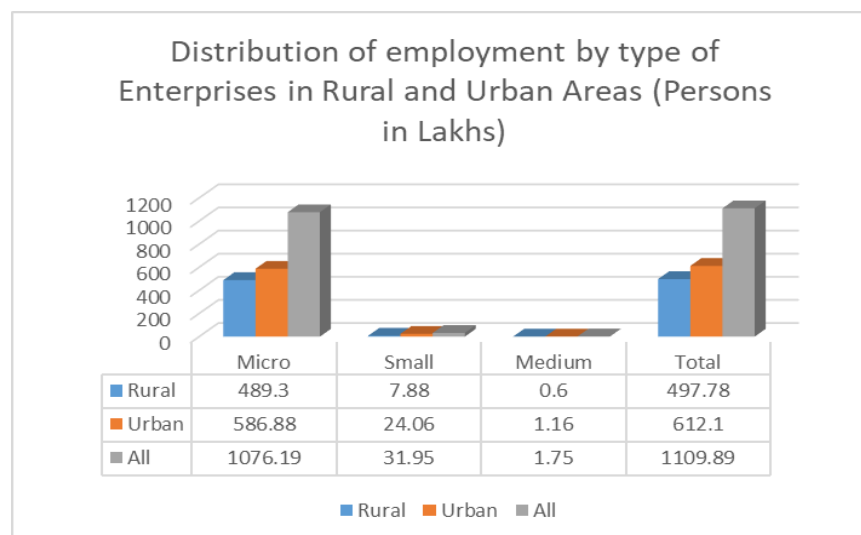


Percentage Distribution of Enterprises in rural and urban areas

(Male/ Female ownership)

Source: (M/o MSME, 2024)

With an estimated 630.52 lakh businesses, the micro sector employed 1076.19 lakh people, or roughly 97% of the sector's total workforce. Of the total number of MSME sector employees, 31.95 lakh (2.88%) were employed in the small sector (with 3.31 lakh) and 1.75 lakh (0.16%) in the medium sector (0.05 lakh). This reflects on how micro enterprises are the most employment generating segment amongst the Micro, Small and Medium enterprises in India. The current employment size of rural based Micro, Small and Medium Small Enterprises is approximately forty five percent of total employment size of total MSE of India.



Distribution of employment by type of Enterprises in Rural and Urban Areas (Persons in Lakhs)

Source: (M/o MSME, 2024)

Majority of the industries that are prevalent amongst micro industries have initial investments of less than 5 lakhs and an annual turnover of less than 10 lakhs, such enterprises dominate the MSME landscape numerically consisting of approximately 2.22 crore microunits out of 3.16 crore units, this suggests that this sector entails enterprises that they comprises of endeavours pertaining to self-employment, family-run businesses and entail a lot of informal labour, such businesses are likely to employ few people per unit but their volume suggests that they collectively support millions of jobs, especially in rural and semi-urban areas. The current state of micro enterprises in India are marked by low turnovers, this reinstates the need for the integration of modern supply chains to provide more growth and better income to people involved in this sector.

Turnover Range	Micro	Small	Medium	Total
< 10 Lakh	2,22,26,001	12,211	1,027	2,22,39,239
10+ to 25 lakh	48,77,019	4,222	213	48,81,454
25+ to 50 lakh	21,72,694	3,504	125	21,76,323
50+ to 1 Crore	9,93,712	5,715	126	9,99,553
1+ to 2 Crore	7,04,847	13,387	259	7,18,493
2+ to 5 Crore	6,71,676	30,644	459	7,02,779
5+ to 25 Crore	5	5,78,695	2,535	5,81,235
25+ to 50 Crore	-	84,404	2,205	86,609
50Cr+ to 100Cr	1	-	40,774	40,775
100Cr+ to 250Cr	-	-	21,290	21,290
Total:-	3,16,45,955	7,32,782	69,013	3,24,47,750

Turnover range of MSME as on 31st December, 2024

Source: (M/o MSME, 2025)

Assessing the trends in Khadi and Village Industries in India

The Khadi and Village Industries sector is an essential component of India's rural economy contributing significantly to employment generation and sustainable development in rural areas. This sector consists of a wide range of activities that emphasize on producing traditional and village based products ranging from Khadi fabrics, agro-processing and fellow rural artisanal goods. The various development schemes by Government of India's Ministry of MSME are implemented through Khadi and Village Industries Commission (KVIC), these schemes are centered around employment generation, promotion, productivity, wage enhancement, social welfare security and sustainable development of artisans. KVIC undertakes a vital contribution in the preservation and promotion of traditional crafts and skills, through programmes centering around Khadi, Village Industries, entrepreneurship development and sustainable practices, it has created a platform for artisans, entrepreneurs and stakeholders to

thrive. During 2019, all schemes, sub-schemes, components were merged under an umbrella scheme of Khadi and Gramodyog Vikas Yojana (as was mentioned in the introduction), which is further bifurcated into two parts, namely, (i) Khadi Vikas Yojana (KVV) which is responsible for the promotion and development of the Khadi sector primarily consisting of handspun or hand-woven fabrics made from cotton, wool or silk, through the schemes like Modified Market Development Assistance (MMDA), Interest Subsidy Eligibility Certificate (ISEC), Workshed Schemes for Khadi Artisans, strengthening infrastructure of existing weak Khadi institutions and Assistance for Marketing infrastructure, as well as, research and development in the field of science and technology in the Khadi sector; and (ii) Gramodyog Vikas Yojana (GVY) which undertakes the obligations concerning the promotion and development of village industries through providing common facilities, technological modernization, training etc., along with support and services for the promotion of village industries.

Sr. No.	Items	Institutions Directly Assisted By KVIC	State Boards and their Institutions	Total	% of Share	
					KVIC	KVIB
1.	Production	1752.32	750.99	2503.31	70%	30%
2.	Sales	3577.64	1533.28	5110.92	70%	30%
3.	Employment	3.48	1.14	4.62	75%	25%

Share of Directly aided Institutions of KVIC and State KVI Boards

Source: (KVIC, 2023)

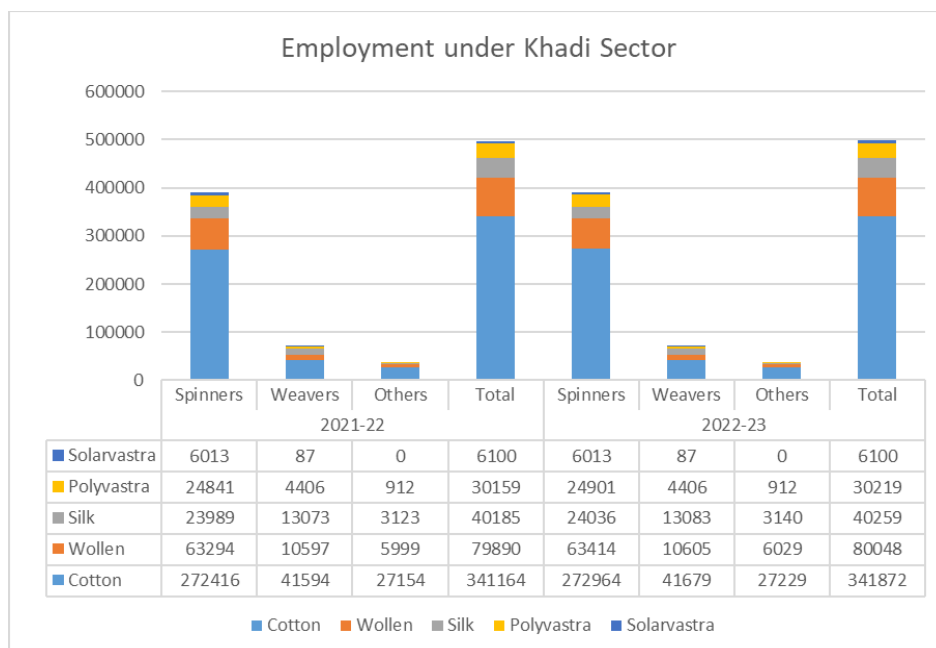
The Modified Market Development Assistance scheme which was introduced during the third quarter of 2016-17 (and was revised during the third quarter of 2022-23) aimed at upgradation of technology, availing design consultancy for the development of new products and value addition by adopting latest technologies in post fabric stage/process, entailing modernization and computerization of sales outlets, introduction of mobile sales van, engaging with external marketing consultants, as well as, capacity building and incentives for artisans,

karyakartas and sales personnel. Interest Subsidy Eligibility Certificate (ISEC) which was introduced during May, 1977 with the intent of mobilizing the funds from banking institutions in order to bridge the gap in actual fund requirement and its availability from budgetary sources, as per this scheme an interest of 4% per annum is borne by Khadi Institutions and the remaining by KVIC from budgetary sources provided by the Government of India (this scheme is only applicable for Khadi and Polyvastra). Work-Shed Scheme for Khadi Artisans was launched for artisans belonging to BPL Group during 2008-09, it encourages artisans to spend more time on Khadi activities with a congenial atmosphere for their sustainable earning by possessing their own workplace, this scheme aimed at providing better workplace to Khadi artisans to carry out spinning and weaving activities, as well as, storage for raw materials, implements, accessories, semi-finished and finished goods which were provided to artisans as per this scheme, hereby a financial assistance of up to 1,20,000 rupees were provided for individual work shed and up to 80,000 rupees per artisans were disbursed for group workshed. During 2009-10, the government approved a plethora of schemes for strengthening infrastructure of weak Khadi institutions, hereby, it identified Khadi institutions in (sick/weak/problematic/ “D” category) with the intent to enable them for employment generation and improve marketing of Khadi products through development of marketing infrastructure (including renovation of selected sales outlets Khadi institutions). Fellow policies like (i) ‘Artisans Welfare Fund Trust’ (AWFT) which was operated by Khadi Institutions at state level, making membership mandatory for all Khadi and Polyvastra producing institutions registered with KVIC and state KVIB’s), this policy undertook Khadi cost chart mechanisms which provided the needed information for building up of an artisans welfare fund which comprises 12% of the artisans earning along with matching contribution of the institutions of the trust, this fund was established for the implementation of social security

measures for artisans associated with Khadi institutions; (ii) KVIC established five departmental ‘Central Silver Plants (CSPs)’ to ensure uninterrupted supply of quality raw materials for improving the quality of Khadi fabric, these five silver plants meet around one-third of raw-material requirements of Khadi sector; (iii) Centre of Excellences for Khadi (CoEK) which have been conceived by KVIC to address the requisites of improvement of Research and Development of Khadi artisans for development of Khadi sector, their objective is to help Khadi institutions in designing, producing and marketing high quality Khadi products for Indian and global markets.

As per Gramudyog Vikas Yojana, the policies and programmes for the promotion and development of Village Industries are centered around honing the strength of traditional industries and indigenous skills while imparting advanced skills and incorporating technological inventions, as well as, distributing modern toolkits which would help the enhancement of productivity and garner greater remuneration within this sector. The policy formulation in this sector specifically focuses on research and development aimed at strengthening the Multi Disciplinary Training Centres (MDTCs) and fostering technical tie ups with Centres of Excellence across different verticals. This sector is revered for its capacity to create employment opportunities at low capital cost due to the nature of their operations. These industries have also enhanced the scope of micro-finance. KVIC has been providing financial assistance to entrepreneurs for setting up village industries, along with rendering technical guidance, training facility, quality control assistance and marketing support. The support of KVIC in this sector has focused on introducing the provisions of modern tools, equipment and skill development to avail them with the ability to produce better products, as well as, facilitate the effective marketing of those products through the organization of buyer-seller meets and exhibitions. Earlier village industries programmes were implemented through directly aided institutions of KVIC, as well as,

KVIBs (khadi and Village Industries Board), although, the implementation of Rural Employment Generation Program (REGP) and Prime Minister's Employment Generation Programme (PMEGP) has led to a staunch rise in the establishment of micro enterprises across the country, which have instrumented the creation of employment opportunities for millions of people and drastically increased the volume of production.



Employment under Khadi Sector

Source: (KVIC, 2023)

While addressing the trends in the Khadi and Village Industries, it is vital for us to gauge the employment that each sector has created, as per the Annual report of KVIC, the total employment generated by various segments of workers involved in this sector (including spinners, weavers and others) amount to 4,98,498 people (as reflected in the table above) and the earnings across different sectors amount to 1383.82 crores (as reflected in the table below) which amounts to an average of approximately 27,759.79 rupees per person involved in this sector.

Considering that the earnings reflected in the report are annual, this points to important concerns about how low the wages are in this sector despite the government support. This calls for reevaluating costs of the products and the involvement of labour in this sector, considering that an ‘average’ might not be the most appropriate indicator of the earning of the people involved in this sector, it would be an imperative for the researchers and policy makers to gauge the annual income of various segments of people involved in this sector.

Sr. No.	Variety	2021-22	2022-23
1.	Cotton	599.14	609.07
2.	Woollen	165.18	189.98
3.	Silk	415.64	373.78
	Total Khadi	1179.96	1172.83
4.	Polyvastra	140.98	207.37
5.	Solarvastra	3.54	3.62
	Grand Total	1324.48	1383.82

Earnings of the different verticals of Khadi sector (Rs. in Crores)

Source: (KVIC, 2023)

Similarly, the number of people employed in the village industry sector and the remuneration that they are able to draw needs assessment, the following table gives an account of the number people involved in village industries (as accounted for by KVIC), this figure stands at 162.64 lakh people and the earnings are amounted at 43704.33 crores, which makes the average annual income of 25,388.65 rupees, which is lower than the average income of the people engaged in the khadi sector. Considering that this figure reflects the annual earnings, this is an alarming state of affairs, although the scholars and the policy makers should account for the value chain involved within this sector and gauge the distribution of income across different vertices involved in village industries.

Sr.No.	Particulars	2021-22	2022-23	% increased
I.	PRODUCTION			
a.	Khadi	2275.74	2503.31	10.00
b.	Polyvastra	275.62	405.42	47.09
c.	Solarvastra	6.95	7.10	2.16
	(Khadi, Polyvastra & Solarvastra) : Total	2558.31	2915.83	13.97
d.	Village Industries	81731.62	93040.84	13.84
	Total - I	84289.93	95956.67	13.84
II.	SALES			
a.	Khadi	4366.06	5110.92	17.06
b.	Polyvastra	678.38	824.05	21.47
c.	Solarvastra	7.28	7.96	9.34
	(Khadi, Polyvastra & Solarvastra) : Total	5051.72	5942.93	17.64
d.	Village Industries	110363.51	128686.56	16.60
	Total - II	115415.23	134629.49	16.65
III.	EMPLOYMENT			
a.	Khadi	4.61	4.62	0.22
b.	Polyvastra	0.30	0.30	-
c.	Solarvastra	0.06	0.06	-
	(Khadi, Polyvastra & Solarvastra) : Total	4.97	4.98	0.20
d.	Village Industries	162.64	172.14	5.84
	Total - III	167.61	177.12	5.67
IV.	EARNINGS			
a.	Khadi	1179.96	1172.83	-
b.	Polyvastra	140.98	207.37	47.09
c.	Solarvastra	3.54	3.62	2.26
	(Khadi, Polyvastra & Solarvastra) : Total	1324.48	1383.82	4.48
d.	Village Industries	37715.24	43704.03	15.88
	Total - IV	39039.72	45087.85	15.49

Comparative Performance of Khadi and Village Industries (with regards to Production, Sales, Employment and Earnings)¹

Source: (KVIC, 2023)

The disbursement of funds across Khadi and Village Industries showcase a staunch divide, as the following table suggests, that most of the disbursed by the KVIC focusses on the Khadi sector, as of 2023, the Khadi textile sector has received a fund of 286.26 crores whereas, the various vertices under the Gramodyog Vikas Yojana which primarily focuses on village industries has received only 33.66 crores for their development. This reflects a staunch gap in the

¹ Data for Production, Sales and Earnings are provided as Rs. in crores and employment in lakh persons)

investments being made between Khadi (i.e., textiles) that come under the purview of KGVY and Village Industries industries that fall under GVV.

Sr. No.	Head	Revised Estimate (RE)	Fund Received From Ministry	Fund Disbursed by KVIC
A	KHADI VIKAS YOJANA			
A-1	KVY GRANT			
i	MMDA (Khadi & Polyvastra) (*)	249.39	249.39	201.04
ii	ISEC (Khadi & Polyvastra)	25.00	25.00	34.98
iii	Work-shed Scheme	3.00	3.00	11.12
iv	Strengthening of Infrastructure of Existing Weak Khadi Institutions.	0.00	0.00	1.63
v	Assistance for Marketing Infrastructure	8.25	7.68	11.71
vi	Marketing	1.00	0.90	14.51
vii	Science & Technology (Khadi)	1.00	0.70	0.83
viii	Setting up of Design House (Khadi)	0.00	0.00	4.96
ix	Promotional Grant (Khadi) & Legal	7.00	5.83	5.77
x	Quality Assurance (Khadi)	0.00	0.00	0.01
xi	Survey & Studies (Economic Research)	0.00	0.00	1.42
xii	Capacity Building - Training (Khadi)	0.00	0.00	1.28
	TOTAL : A-1 (KVY Grant)	294.64	292.50	289.26
A-2	BOOK ADJUSTMENT GRANT			
i	Subsidy in Lieu of Interest - Khadi	1.00	1.00	1.00
ii	Subsidy in Lieu of Interest – Village Industry	3.49	3.49	3.49
	TOTAL : A-2 (Book Adjustment)	4.49	4.49	4.49
	TOTAL A (A-1 + A-2) - KVY	299.13	296.99	293.75
B	GRAMODYOG VIKAS YOJANA			
B-1	GVY GRANT - DEDICATED VERTICLES			
i	Agro Based & Food Processing Industry (ABFPI)	1.00	1.00	1.37
ii	Agro Based & Food Processing Industry (ABFPI) (FBI-including Honey Mission)	10.00	8.90	8.91
iii	Mineral Based Industry (MBI) - Pottery	10.00	9.15	11.72
iv	Wellness & Cosmetics Industry (WCI) – Agarbatti & Leather	4.12	4.01	4.05
v	Handmade Paper, Leather & Plastic Industry (HPLPI)	2.00	1.96	2.44
vi	Rural Engineering & New Technology Industry (RENTI) - Carpentry & Blacksmithy	0.00	0.00	3.22
vii	Service Industry	1.04	0.96	0.95
viii	Science & Technology (Village Industry)	1.12	1.12	1.20
	TOTAL : B-1 (GVY Grant : Dedicate Verticals)	29.28	27.10	33.86

Flow of Funds by KVIC- 2022-23

Source: (KVIC, 2023)

Training Programmes under Khadi and Gramodyog Vikas Yojana

The following table shares the number of short-term skill development programmes offered by KVIC for the skill enhancement of the people hailing from rural and marginalized communities, these courses have been designed with keen attention towards the technological

integration within the khadi and village industries sector, the commission also provides tool kits for the trainees to deploy in their vocation and enterprises.

Sr. No.	Name of Courses	Duration
1.	Textile Wet Processing	15 months
2.	Khadi Technology	9 months
3.	Khadi Weaving (Frame/Semi - automatic) Course	6 months
4.	Silk Reeling & Spinning	3 months
5.	Khadi Design Development	2 months
6.	Refresher course in Spinning & Weaving	2 months
7.	Dyeing & Printing Course	2 months
8.	Khadi Spinning (NMC) Course	1 month
9.	Tailoring & Embroidery	3 months
10.	Cane & Bamboo	3 months
11.	Bamboo Article Making	1 month
12.	Fruit & Vegetable Processing Courses	2 months
13.	Bakery Course	2 months
14.	Toilet & Laundry Soap making	2 months
15.	Village Oil Technician Course	2 months
16.	Terra Cotta Art Ware course	2 months
17.	Mobile Cell Phone Repairing	1 month
18.	Confectionery and Sweet Making	1 month
19.	Liquid Soap/Detergent Powder/Detergent Cake Making	1 month
20.	Beautician Course	1 month
21.	Computer Hardware and Networking	1 month
22.	Spices and Masala Making	1 month
23.	Cooking & Catering Course	1 month
24.	Paper Conversion Course	1 month
25.	Bee-keeping Certificate course	1 month
26.	Basic Computer Training	1 month
27.	Agarbatti Making Course	1 Week
28.	Detergent Powder Making Course	1 Week
29.	Paper Carry Bag & Envelope Making	1 Week
30.	Masala Making Course	1 Week
31.	Food Processing Course	2 Weeks
32.	Cloth Bag Making	2 Weeks
33.	Paper Making Course	2 Weeks
34.	Pottery Course	2 months
35.	Soap Making	1 Week

Courses offered by KVIC

Source: (KVIC, 2023)

These courses are curtailed towards creating self-sufficiency and self-reliance within the village communities, they span across a wide range of activities and entrepreneurial endeavours which cater to the everyday needs of the communities.

Conclusion

The micro industries have been a key employment generator in India, especially amongst the rural and marginalized communities. The data reflects that micro and small enterprises are creating the most employment generating sectors in the country due to the low cost of investments required in their operations, although, the returns as reflected in the annual turnovers have been substantially low, also, taking into consideration the average annual income for the workers and artisans involved in khadi and village industries being substantially lower than the living wage. This paper advocates the need for further investigation of the remuneration that are drawn from people involved in different capacities within this sector. The low annual turnovers and average incomes call for the need for the integration of modern supply chains for both the production and retail of the produce in this sector. It finds that the employment from khadi and village industries in India stands at 177.12 lakh persons, while the overall employment within micro industries amongst rural areas are 489.30 lakhs, this reflects that a vast majority of people who are employed by micro and small industries are not undertaking traditional production methods but are rather involved in enterprises which deploy modern machines for their production.

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